FALLEN EMPIRES

Toygaroo: the deal sheet

Toygaroo was an online toy-rental service, pitched as "the Netflix of toys". It appeared on Shark Tank US (aired March 25, 2011).

Deal sheet (sourced)

| Item | Fact | Source |

|---|---|---|

| Sharks | Mark Cuban and Kevin O'Leary | Entrepreneur; Shark Tank Blog |

| Deal | $200,000 for a combined 35% (implied valuation about $571,000) | Entrepreneur; Shark Tank Blog |

| Bankruptcy | Parent company Hutch Toygaroo, LLC filed Chapter 7 on April 2, 2012 | Shark Tank Blog (citing the case listing) |

| Causes (reported) | High shipping, logistics and inventory costs | Press and former CTO account |

Some outlets give slightly different deal percentages or filing dates; we use the figures that most sources agree on.

3 things to notice

1. A rental model has costs on both legs: shipping out and shipping back.
2. Physical inventory ties up cash before a single customer pays.
3. A TV deal is money, not a business model.

2 mistakes to avoid

1. Scaling before the unit economics work.

2. Treating TV exposure as proof of demand.

Glossary

- **Equity**: the ownership share an investor receives.
- **Valuation**: deal amount divided by share (200,000 / 0.35).
- **Chapter 7**: a US bankruptcy where a company is wound down and its assets sold.
- **Inventory**: goods a company holds before selling or renting them.

This is a recap of public information, not investment advice.

Sources: entrepreneur.com ("A Look at Shark Tank's Most Memorable Deals"); sharktankblog.com/toygaroo-bankruptcy/

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